SERVICES NOT CREATING ENOUGH JOBS

While the share of employment in services in India was relatively high at take-off, its growth has since then been slow (as have been discussed earlier in this chapter). At the same time, the share in value added, which was high at take-off, has continued to rise quickly. This implies that *while productivity in the sector has been high, the services sector is not creating many jobs* this is the opposite of the problem with the industry.

In the process of business creation, there may some common impediments to services and industry both, for example, regulatory hurdles and access to funding and infrastructure. Labour regulations are also likely to constrain creation of jobs in services. For example, 27 per cent of retail stores in India report labour regulations as a problem for their businesses.[43]

But what stands out for the services sector is the importance of **education** and **skilling**. Suitable higher education is important for high-end services such as IT, software development, and finance. Mid-level services such as retail trade, hotels, and restaurant services also require adequate skilling of the labour force. The 'formal apprenticeship' programme of the government, which places ***employers at the heart of education,*** can play a powerful role in imparting job-relevant skills and also retraining, preparing, and upgrading the labour force. In its current form, the Act and the Rules governing apprenticeships are outdated and rigid from both the perspective of employers and employees and they need to be amended (discussed in the next sub-title *'Need of Formal Apprenticeship'*).

Addressing both quality and quantity issues are the twin challenges in skill development and training so as to correct the mismatch between employers who do not get people with requisite skills and millions of job seekers who do not get employment. The National Skill Development Mission (NSDM) aims to impart employment-oriented vocational training to ***8 crore people over the next 5 years*** by working with state governments (through the State Skill Missions) and incorporating the private sector (through PPPs and for-profit vocational training) and NGOs. Basic education is also an important input for enhancing human capital. Recent government initiatives to expand access to quality primary education are important; however, more needs to